

GALLANT IAS ACADEMY
PRELIMS CUM MAINS BATCH 2027
POLITY
MODULE 2.4
PARLIAMENT - ARTICLES 107- 111

Article 107 - 111

Types of Bills: Public (Government) vs Private Member's Bill

Bills in Parliament are broadly of two kinds, depending on who introduces them.

Feature	Public / Government Bill	Private Member's Bill
Introduced by	A Minister	Any member other than a Minister
Nature	Reflects government policy	Raises matters of importance, mainly by the Opposition
Chance of approval	Higher	Lower - only 14 have been passed in Indian history, the last in 1970
Rejection implication	May lead to the resignation of the entire Cabinet	No direct implication
Notice period	7 days	1 month - introduced and discussed only on Fridays
Who drafts the bill	The government department and the law department	The individual member

Comparing Ordinary Bills, Money Bills, Financial Bills and Constitution Amendment Bills

Feature	Ordinary Bill	Money Bill	Financial Bill I	Financial Bill II	Constitution Amendment Bill
Definition / Article	Not a money bill and not related to finance (Article 107)	Article 110	Article 110 matters + general legislation (Article 117(1))	Involves expenditure from CFI, but not an Article 110 matter (Article 117(3))	Amends the Constitution (Article 368)
Who introduces	Any member, in any House	Only by a minister in Lok Sabha (Laxmikant) + Certified by Speaker Any member (No Constitutional bar for private members) from LS	Only by a minister in Lok Sabha (Laxmikant) Any member (No Constitutional bar for private members) from LS	Any member in any house can introduce	Any member, in any House
President's recommendation	Not required	Required before introduction	Required before introduction	Not required for introduction; required before consideration and passing	Not required

Rajya Sabha's role	Can accept, amend or reject	Cannot amend or reject - can only recommend	Can amend or reject	Can amend or reject	Can amend or reject
Time limit for Rajya Sabha	6 months	14 days	6 months	6 months	No fixed limit - must be passed by both Houses separately
Joint sitting	Possible	Not possible	Possible	Possible	Not possible
President's options on assent	Assent, withhold, or return for reconsideration	Assent or withhold - or no reconsideration	Assent, withhold, or return for reconsideration	Assent, withhold, or return for reconsideration	Must give assent
Majority required	Simple	Simple	Simple	Simple	Special majority

Veto Power of the President

The term '**veto**' is not mentioned in the Indian Constitution, but the President is understood to exercise three kinds of veto over a bill passed by Parliament: **absolute**, **suspensive**, and **pocket**.

Type of Veto	What It Means	Example
Absolute veto	The President permanently blocks a bill by withholding assent	In 1954, President Rajendra Prasad exercised an absolute veto on the PEPSU Appropriation Bill
Suspensive veto	The President returns a bill for reconsideration; if Parliament sends it back unchanged, the President must then sign it	First officially used in 2006, when President A.P.J. Abdul Kalam returned the Office of Profit Bill for reconsideration
Pocket veto	The President neither signs nor rejects nor returns a bill, effectively preventing it from becoming law	In 1986, President Zail Singh is understood to have used a pocket veto on the Indian Post Office (Amendment) Bill

Article 107: Ordinary Bill - Procedure and Lapsing

A bill pending in Parliament does not lapse merely because a House is prorogued. Dissolution of the Lok Sabha, however, has specific effects on pending bills:

Scenario	Effect of Lok Sabha Dissolution
A bill pending in the Lok Sabha (whether it originated there or was transmitted from the Rajya Sabha)	Lapses
A bill passed by the Lok Sabha but still pending in the Rajya Sabha	Lapses
A bill on which the two Houses have finally disagreed, if the President has notified a joint sitting before the dissolution	Does not lapse
A bill pending in the Rajya Sabha but not yet passed by the Lok Sabha	Does not lapse
A bill passed by both Houses but pending the President's assent	Does not lapse
A bill passed by both Houses but returned by the President for reconsideration	Does not lapse

The general procedure a bill follows is: **First Reading** → **Second Reading** → **Third Reading** → **passage through the second House** → **Presidential assent**.

Article 108: Joint Sitting

A joint sitting resolves a **deadlock** between the two Houses over the passage of a bill. It can be triggered if a bill is **rejected** by one House, if the Houses have **finally disagreed** on amendments, or if the six-month time period for the other House to act on the bill has been breached. The President may summon a joint sitting only for an **ordinary bill** or a **financial bill** - never for a money bill or a Constitution Amendment Bill. If a joint sitting has been notified for a bill, that bill does not lapse even if the Lok Sabha is dissolved. The presiding order for a joint sitting is: the **Speaker**, then the **Deputy Speaker**, then the **Deputy Chairman** of the Rajya Sabha, and finally such other person as the members present may determine. The quorum is one-tenth of the total strength of both Houses combined. A joint sitting is governed by the rules and procedures of the **Lok Sabha**, not the Rajya Sabha, and no new amendments can be moved - only amendments that caused the original disagreement, or ones that have become necessary due to the delay, are permitted.

A joint sitting has been used only thrice in Indian history: the **Dowry Prohibition Bill, 1960**, the **Banking Service Commission (Repeal) Bill, 1977**, and the **Prevention of Terrorism Bill, 2002**.

Article 109: Special Procedure for Money Bills

Article 109 lays down the special procedure applicable to Money Bills, which is elaborated further under Articles 110 and 111.

Article 110: Definition of a Money Bill

A bill is deemed a Money Bill if it contains only provisions dealing with:

- The imposition, abolition, remission, alteration or regulation of any tax
- The regulation of government borrowing, or the giving of a government guarantee, or amendment of the law on financial obligations undertaken or to be undertaken by the Government of India
- The custody of the Consolidated Fund or the Contingency Fund of India, and the payment of moneys into, or withdrawal from, either fund
- The **appropriation of moneys out of the Consolidated Fund of India**
- Declaring any expenditure to be charged on the Consolidated Fund of India, or increasing the amount of such expenditure
- The receipt of money on account of the Consolidated Fund of India or the Public Account of India, or the custody or issue of such money, or the audit of accounts of the Union or of a State
- Any matter incidental to any of the above

A bill is not deemed a Money Bill merely because it provides for the imposition of fines or other pecuniary penalties, the demand or payment of licence or service fees, or the imposition of a tax by a local authority for local purposes. If a question arises as to whether a bill is a Money Bill, the decision of the **Speaker of the Lok Sabha** is final.

Money Bill Route: Misuse and Reform

Concerns about misuse of the Money Bill route have arisen in several instances: the dissenting note of **Justice D.Y. Chandrachud** in the **Aadhaar Act** case; amendments to the **Prevention of Money Laundering Act** pushed through as money bills; changes to tribunal member service conditions via the **Finance Act, 2017**; and the introduction of the **Electoral Bond Scheme** through the money bill route. The core issue is that this practice bypasses the Rajya Sabha entirely, affecting the basic structure principle of **bicameralism**.

A possible way ahead is the **UK convention** of having a dedicated committee certify whether a bill genuinely qualifies as a money bill, rather than leaving the decision solely to the Speaker.

Article 111: Assent to Bills

Article 111 sets out the President's options when a bill passed by Parliament is presented for assent - to give assent, withhold assent, or (except for Money Bills) return the bill for reconsideration.

Consolidated Fund, Public Account and Contingency Fund of India

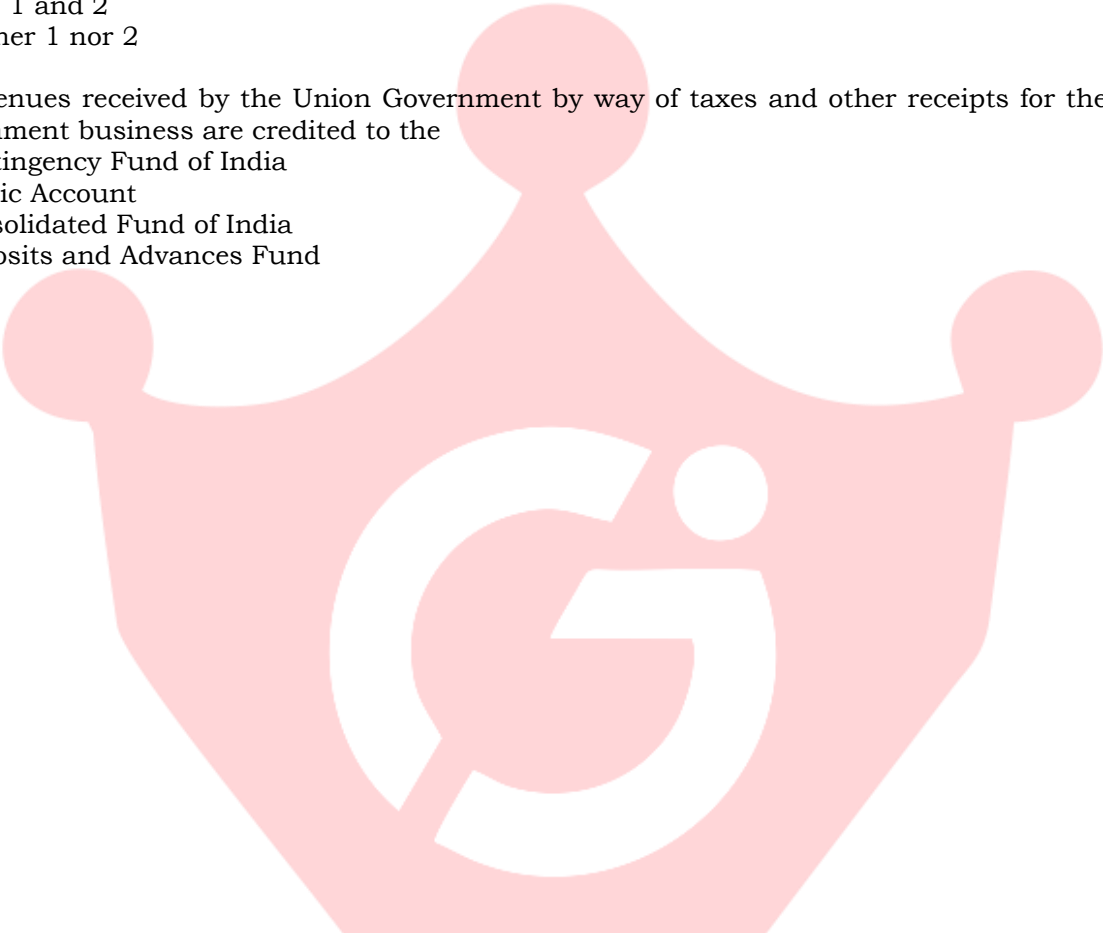
Feature	Consolidated Fund of India	Public Account of India	Contingency Fund of India
Article	266(1)	266(2)	267 - an enabling provision; Parliament created the fund itself through the Contingency Fund of India Act, 1950
Nature of the fund	All receipts (revenues, loans, loan repayments) are credited here, and all government payments are debited from it	Holds public money received by the government that is not part of the Consolidated Fund	Set up for unforeseen expenditure, pending subsequent parliamentary approval
What flows into it	(a) all government revenues; (b) all loans raised by the government; (c) repayments of loans made to the government	1. Provident fund deposits, judicial deposits, savings bank deposits, departmental deposits, remittances, etc. - i.e. money the government holds in trust; 2. Money set aside for specific purposes	An initial corpus determined by Parliament and topped up from time to time - the current corpus is Rs 30,000 crore
Approval needed	Parliamentary approval is required before any withdrawal	1. Managed by the government through executive action; 2. Special funds within it may need separate approval	Held by the Finance Secretary on behalf of the President, under the Department of Economic Affairs

Prelims Practice Questions (PYQs)

- With reference to the Indian Parliament, consider the following statements:
 - A bill pending in the Lok Sabha lapses on its dissolution.
 - A bill passed by the Lok Sabha and pending in the Rajya Sabha lapses on the dissolution of the Lok Sabha.
 - A bill in regard to which the President of India notified his/her intention to summon the Houses to a joint sitting lapses on the dissolution of the Lok Sabha.
 Which of the statements given above is/are correct?
 - 1 only
 - 1 and 2
 - 2 and 3
 - 3 only
- Which of the following statements is/are correct?
 - A bill pending in the Lok Sabha lapses on its prorogation.
 - A bill pending in the Rajya Sabha, which has not been passed by the Lok Sabha, shall not lapse on dissolution of the Lok Sabha.
 Select the correct answer using the code given below:
 - 1 only
 - 2 only
 - Both 1 and 2
 - Neither 1 nor 2

3. When a bill is referred to a joint sitting of both Houses of Parliament, has to be passed by
- a simple majority of members present and voting
 - three-fourths majority of members present and voting
 - two-thirds majority of the House
 - absolute majority of the House
4. A deadlock between the Lok Sabha and the Rajya Sabha calls for a joint sitting of the Parliament during the passage of
1. Ordinary Legislation
 2. Money Bill
 3. Constitution Amendment Bill.
- Select the correct answer using codes the given below:
- (a) 1 only
 - (b) 2 and 3 only
 - (c) 1 and 3 only
 - (d) 1, 2 and 3
5. When a bill is referred to a joint sitting of both the Houses of the Parliament, it has to be passed by
- (a) a simple majority of members present and voting
 - (b) three-fourths majority of members present and voting
 - (c) two-thirds majority of the Houses
 - (d) absolute majority of the Houses
6. With reference to Finance Bill and Money Bill in the Indian Parliament, consider the following statements:
1. When the Lok Sabha transmits a Finance Bill to the Rajya Sabha, it can amend or reject the Bill.
 2. When the Lok Sabha transmits a Money Bill to the Rajya Sabha, it cannot amend or reject the Bill, it can only make recommendations.
 3. In the case of disagreement between the Lok Sabha and the Rajya Sabha, there is no joint sitting for Money Bill, but a joint sitting becomes necessary for Finance Bill.
- How many of the above statements are correct?
- (a) Only one
 - (b) Only two
 - (c) All three
 - (d) None
7. Which of the following statements are correct in respect of a Money Bill in the Parliament?
1. Article 109 mentions special procedure in respect of Money Bills.
 2. A Money Bill shall not be introduced in the Council of States.
 3. The Rajya Sabha can either approve the Bill or suggest changes but cannot reject it.
 4. Amendments to a Money Bill suggested by the Rajya Sabha have to be accepted by the Lok Sabha.
- Select the answer using the code given below:
- (a) 1 and 2 only
 - (b) 2 and 3 only
 - (c) 1, 2 and 3
 - (d) 1, 3 and 4
8. Regarding Money Bill, which of the following statements is not correct?
- (a) A bill shall be deemed to be a money bill if it contains only provisions related to imposition, abolition, remission, alteration or regulation of any tax
 - (b) A Money Bill has provisions for the custody of the Consolidated Fund of India or the Contingency Fund of India
 - (c) A Money Bill is concerned with appropriation of moneys out of the Contingency Fund of India
 - (d) A Money Bill deals with the regulation of borrowing of money or giving of any guarantee by the government of India
9. What will follow if a Money Bill is substantially amended by the Rajya Sabha?
- (a) The Lok Sabha may still proceed with the Bill, accepting or not accepting the recommendations of the Rajya Sabha
 - (b) The Lok Sabha cannot consider the Bill further
 - (c) The Lok Sabha may send the Bill to the Rajya Sabha for reconsideration
 - (d) The President may call a joint sitting for passing the Bill
10. Consider the following statements:
1. A bill amending the Constitution requires a prior recommendation of the President of India.
 2. When a Constitution Amendment Bill is presented to the President of India, it is obligatory for the President of India to give his/her assent.
 3. A Constitution Amendment Bill must be passed by both the Lok Sabha and Rajya Sabha by a special majority and there is no provision for joint sitting.
- Which of the statements given above are correct?

- (a) 1 and 2 only
 - (b) 2 and 3 only
 - (c) 1 and 3 only
 - (d) 1, 2 and 3
11. With reference to the Parliament of India, consider the following statements:
- 1. A private member's bill is a bill presented by a Member of Parliament who is not elected, but only nominated by the President of India.
 - 2. Recently, a private member's bill has been passed in the Parliament of India for the first time in its history.
- Which of the statements given above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2
12. All revenues received by the Union Government by way of taxes and other receipts for the conduct of Government business are credited to the
- (a) Contingency Fund of India
 - (b) Public Account
 - (c) Consolidated Fund of India
 - (d) Deposits and Advances Fund



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